



Heranba posted extremely poor set of numbers on account of supply constraints to China which accounts for ~12% of annual sales, revenues saw a meagre growth of 3% on YoY as well as QoQ basis with drop in EBITDA margin from ~18% to 13% due to raw material inflation, high power & fuel cost (Rs.50 Mn/month) & low seasonal demand due to delayed monsoon

Key business highlights

- Management has revised the annual revenue guidance from 18-20% growth to 15-18% growth & EBITDA Margins from 18-20% to 16-18%
- Sarigam Phase 1 to be commissioned by end of Q4FY23 & Phase 2 by Q2FY24
- Price hike of ~3% on blended basis to be taken in next quarter

Key financial highlights

- Revenue at INR 3,619 Mn, +3% qoq / +3% yoy
- EBITDA (Excl OI) at INR 460 Mn, -26% qoq / -29% yoy
- EBITDA margin (Excl OI) at 12.7% vs 17.9% / 18.4% in Q4FY22 / Q1FY22
- PAT at INR 334 Mn, -21% qoq / -29% yoy
- EPS stood at INR 8.4 vs 10.6 / 11.8 in Q4FY22 / Q1FY22

Financial Summary

Y/E Mar (Rs mn)	FY18	FY19	FY20	FY21	FY22	FY23E	FY24E
Net sales	7,412	10,044	9,514	12,186	14,504	16,969	19,854
Growth Y-o-Y (%)		35.5	(5.3)	28.1	19.0	17.0	17.0
EBIDTA	878	1,314	1,293	2,213	2,598	2,949	3,501
Growth Y-o-Y (%)		49.7	(1.6)	71.1	17.4	13.5	18.7
Margins (%)	11.8	13.1	13.6	18.2	17.9	17.4	17.6
Adjusted net profit	469	754	977	1,542	1,891	2,135	2,506
Growth Y-o-Y (%)		60.9	29.5	57.9	22.6	12.9	17.4
EPS (Rs)	60.0	19.3	25.0	38.5	47.3	53.4	62.6
P/E (x)	9	29	23	15	12	11	9
EV/EBITDA (x)	6	17	17	10	8	7	5
RoCE (%)	35.5	45.1	33.3	35.7	31.3	27.9	26.4
RoE (%)	29.8	33.0	30.4	29.2	26.5	23.4	21.9

Source: Company

Rating NEUTRAL

Market data

Current price	Rs	566
Market Cap (Rs.Bn)	(Rs Bn)	23
Market Cap (US\$ Mn)	(US\$ Mn)	284
Face Value	Rs	10
52 Weeks High/Low	Rs	837 / 480
Average Daily Volume	('000)	217
BSE Code		543266
Bloomberg		HERANBA.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	74.83	74.77
Public	25.17	25.23
Total	100	100 +

Source: Bloomberg

Key Risk:

- Key Pyrethroid prices & fluctuation
- Erratic monsoon
- Delay in implementation of capex

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Quarterly Financials

(Rs.Mn)	Q1FY23	Q1FY22	YoY Growth (%)	Q4FY22	QoQ Growth (%)
Revenue from Operations	3,619	3,514	3%	3,501	3%
Other Income	44	43	4%	48	-7%
Cost of Goods sold	2,476	2,303	8%	2,216	12%
Employee Benefits Expense	150	138	9%	105	43%
Other Expenses	533	424	25%	555	-4%
Total Expenses	3,159	2,866	10%	2,876	10%
EBITDA (Excluding Other Income)	460	648	-29%	625	-26%
Depreciation and Amortisation Expenses	53	36	48%	82	-36%
EBIT / PBIT	452	655	-31%	591	-24%
Finance Costs	12	12	-2%	8	43%
EBT / PBT	440	643	-32%	583	-24%
Tax Expense	106	169	-38%	157	-33%
Net Profit after Tax	334	474	-29%	426	-21%
Earning Per Share	8.4	11.8	-29%	10.6	-21%
Margins (%)					
Gross Margins	31.6%	34.5%	-287	36.7%	-511
EBITDA Margins (Excl Other Income)	12.7%	18.4%	-573	17.9%	-514
PAT Margins	9.1%	13.3%	-420	12.0%	-287

Source: Dalal & Broacha Research

Slow revenue growth was mainly due to low technical sales to China which accounts for ~12% of overall sales. Domestic sales were affected due to slow offtake because of delayed monsoon.

Company delivered Gross & EBITDA margin below our expectations. Lower gross margins were because of higher domestic formulation sales which are of lower margin. Lower EBITDA was due to low gross margin coupled with high power & fuel cost

Did you know?

Heranba marks its entry in the most regulated market of USA in October 2021 by sending its first consignment of insecticide.

Management Concall KTAs

- Capex : Phase 1 at Sarigam to be completed by Q4FY22 (Asset T/O-3.5-4x)
- To incur total capex of Rs.1300 Mn in FY23 & Rs.1200 Mn in FY24
- Capex done till date at Sarigam close to Rs.300 Mn
- CFO : -100 Mn for the quarter due to high working capital inventory for Q2FY23 which is domestically seasonal quarter
- Export to China ~12% of overall revenue (negligible exports to china during Q1FY23)
- Future revenue growth of 16-18% will be largely led by 8-10% volume growth & rest by price & product mix
- Total registration stands at 408 in Q1FY23 vs 395 in Q4FY22
- 5 new molecules which were in pipeline to be commercialised only after Sarigam comes onstream : Negative
- 15 products under R&D ; 5 have been shortlisted
- Product launches
FY22 : 2 product launches
FY23 : 1 product launched
FY24 : 2 product launches (Market of 750 Mn \$)
- Price hike of ~3% done across products to recover RM inflation
- Revenue expected from subsidiary: FY23 : Rs.250 Mn ; FY24 : Rs. 750 Mn
- However July & August month have progressed largely inline with FY23 revenue guidance : Positive

Valuation & Outlook

We have a **NEUTRAL View** on the stock as management has not lived up to our expectation especially when entire agrochemical space is doing well.

Downward revision of guidance has affected the stock price significantly along with surprise drop in EBITDA margin remains a worry. All eyes will be on Q2FY23 which is seasonally a strong quarter in domestic markets & ramp up of exports to China & other markets should pick up to make up for the revenue loss. Delay of Sarigam facility along with raw material inflation upon that high power & fuel cost makes it worse for the company in near term especially when other companies in the agrochemical space have delivered good numbers even in challenging environment.

We will review the stock in Q2FY23 which is domestically the strongest quarter due to seasonality & then decide our final view on the stock based on growth numbers, company has committed.

Recommendation Summary

Dates	Rating	Report Type	Reco. Price	Target	Report
20-Aug-21	Buy	Management Meet Update	775	1,200	Click to download
23-Sep-21	Buy	Initiating Coverage	810	1,200	Click to download
12-Nov-21	Buy	Quarterly Update - Q2FY22	710	1,060	Click to download
29-Jan-22	Buy	Quarterly Update - Q3FY22	718	1,090	Click to download
14-May-22	Buy	Quarterly Update - Q4FY22	607	1,090	Click to download
17-Aug-22	NEUTRAL	Quarterly Update - Q1FY23	567	-	

About the Company:

Heranba Industries (Heranba) was incorporated as an agrochemical company in 1992. It is also one of the leading domestic producers of synthetic pyrethroids with a market share of 19.5% in domestic pyrethroid market. The company is present in the entire product value chain of the agrochemicals industry (i.e. Intermediates, Technical and Formulations)

Business verticals include:

- (a) Domestic bulk sales of Technical
- (b) Technical bulk exports
- (c) Branded formulations
- (d) Formulations exports

Heranba has more than 9,400 dealers across sixteen (16) states and one (1) union territory in India supporting the distribution of its products. It has four manufacturing facilities in and around Vapi with a capacity of ~15,000 MTPA.

Financials

P&L (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Sales	10,044	9,514	12,186	14,504	16,969	19,854
Total Operating Expenses	6,978	6,374	7,795	9,306	11,200	13,104
Employee Cost	380	465	522	584	672	753
Other Expenses	1,373	1,381	1,656	2,016	2,148	2,496
Operating Profit	1,314	1,293	2,213	2,598	2,949	3,501
Depreciation	60	82	147	198	259	337
PBIT	1,255	1,211	2,067	2,400	2,691	3,165
Other income	74	165	70	194	213	234
Interest	107	88	54	41	49	49
PBT	1,221	1,288	2,083	2,553	2,854	3,350
exceptional)	1,221	1,288	2,083	2,553	2,854	3,350
Provision for tax	467	312	541	662	719	844
Reported PAT	754	977	1,542	1,891	2,135	2,506
MI	-	-	-	-	-	-
Net Profit	754	977	1,542	1,891	2,135	2,506
Adjusted Profit (excl Exceptionals)	754	977	1,542	1,891	2,135	2,506
Balance Sheet	FY19	FY20	FY21	FY22	FY23E	FY24E
Equity capital	391	391	400	400	400	400
Reserves	1,891	2,818	4,881	6,744	8,732	11,049
Net worth	2,282	3,208	5,281	7,145	9,132	11,449
Non Current Liabilities	103	86	101	156	164	172
Current Liabilities	3,220	2,953	3,051	3,386	5,156	5,899
TOTAL LIABILITIES	5,604	6,248	8,433	10,686	14,452	17,520
Non Current Assets	1,088	1,534	1,881	2,299	2,905	3,761
Fixed Assets	671	1,332	1,431	2,077	2,693	3,530
Goodwill	-	-	-	-	-	-
Non Current Investments	0	37	101	21	21	21
Deferred Tax Asset	1	-	10	28	-	-
Other Financial Assets	71	84	242	114	125	138
Other Non Current Assets	345	81	97	60	66	72
Current Assets	4,516	4,713	6,552	8,387	11,547	13,759
Current investments						
Inventories	1,139	1,455	1,660	2,557	2,557	2,992
Trade Receivables	2,533	2,585	3,418	4,096	4,742	5,548
Cash and Bank Balances	210	32	848	1,199	3,660	4,572
Short Term Loans and Advances	15	26	20	20	22	24

Cash Flow St. (Rs. mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Profit	754	977	1,542	1,891	2,135	2,506
Add: Dep. & Amort.	60	82	147	198	259	337
Cash profit s	814	1,059	1,689	2,088	2,394	2,842
(Inc)/Dec in						
-Sundry debtors	(502)	(52)	(833)	(679)	(646)	(806)
-Inventories	(199)	(316)	(205)	(898)	0	(435)
-Loans/advances	-	(9)	9	-	-	-
- Other Current Assets	(109)	253	(168)	258	(71)	(78)
-Current Liab and Provisions	102	97	170	(71)	33	35
Sundry Creditors	568	(227)	(169)	487	1,742	711
Change in working capital	(140)	(255)	(1,196)	(903)	1,059	(572)
CF from Oper. activities	674	804	493	1,185	3,452	2,270
CF from Inv. activities	(257)	(780)	(310)	(763)	(875)	(1,174)
CF from Fin. activities	(326)	(202)	632	(71)	(116)	(184)
Cash generated/(utilised)	92	(178)	816	351	2,461	912
Cash at start of the year	118	210	32	848	1,199	3,660
Cash at end of the year	210	32	848	1,199	3,660	4,572
Ratios	FY19	FY20	FY21	FY22	FY23E	FY24E
OPM	13.08%	13.60%	18.16%	17.91%	17.38%	17.63%
NPM	7.45%	10.09%	12.58%	12.86%	12.43%	12.47%
Tax Rate	38.26%	24.20%	25.95%	25.93%	25.20%	25.20%
Growth Ratios (%)						
Net Sales	35.51%	-5.28%	28.09%	19.02%	17.00%	17.00%
Operating Profit	49.66%	-1.57%	71.12%	17.36%	13.54%	18.71%
PBIT	60.04%	5.50%	61.66%	22.55%	11.83%	17.35%
PAT	60.86%	29.52%	57.93%	22.59%	12.93%	17.35%
Per Share (Rs.)						
Net Earnings (EPS)	19.3	25.0	38.5	47.3	53.4	62.6
Cash Earnings (CPS)	20.8	27.1	42.2	52.2	59.8	71.0
Dividend	1.0	1.0	1.7	2.7	3.7	4.7
Book Value	58	82	132	179	228	286
Free Cash Flow	281	(562)	125	(154)	2,285	826
Valuation Ratios						
P/E(x)	29	23	15	12	11	9
P/B(x)	9.7	6.9	4.3	3.2	2.5	2.0
EV/EBIDTA(x)	17.0	17.3	10.0	8.4	6.6	5.3
Div. Yield(%)	0.18%	0.18%	0.30%	0.48%	0.65%	0.83%
FCF Yield(%)	49.67%	-99.54%	22.05%	-27.19%	404.38%	146.20%
Return Ratios (%)						
ROE	33.05%	30.44%	29.20%	26.46%	23.38%	21.88%
ROCE	45.12%	33.29%	35.73%	31.30%	27.87%	26.43%

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